debt accordingly, it would help.' Reverting back to Rangaswami at the end of the letter Smith offered to resign. 'If you think it would do any good I will see Rangaswami, I doubt if it would as I had a promise from him before. His hero worship of me is distrustful, indeed I loathe him but I cannot accept any responsibility for it. Let me conclude by repeating that I am quite willing to resign.'[34]

On November 20, Grigg and Smith spoke on the telephone and Grigg minuted this conversation in some detail. The conversation started with Smith's bluster about Grigg's continual accusations about Rangaswami. Grigg said that 'he persisted in misunderstanding me; my point is importance of avoiding appearances of cleavage between us and of his doing nothing which would allow himself to be played off against me.'[35] Then the bank rate was discussed and Smith agreed to wait for a week before lowering it so that he could get Grigg's views on the reduction. This gives the lie to Grigg's assertion to the Viceroy that Smith had not kept him informed about such a reduction.

Smith told Grigg that the Central Board of the RBI had pressed for reduction in the interests of agriculture. Grigg then told Smith that he was horrified that he (Smith) should discuss the question of the rate so freely with the Board, some of whom would certainly use for their own profit the information so obtained. There was also talk of Smith's selling securities. 'I said I couldn't understand how he could have sold securities on balance when Craddock[36] had told Nixon[37] that he had instituted a concerted buying movement by the Reserve, the Imperial, and the Central Bank. At this the bluster disappeared and it was arranged that he should discuss matters with Kelly[38] and that the latter should thereafter come to Delhi to see me. Since then Craddock has wired to Nixon reminding him that his weekly letters are 'Confidential'. This is the most significant thing which has yet happened; clearly there has been really crooked work and it bears out Bird's story of Smith's desire to get out of a private purchase of paper.'[39]

Three days after this conversation, Grigg wrote to Stewart: 'Smith has been behaving very oddly since his return and I have got to have a show down with him. Please tell Norman this privately and beg him in no circumstances to send any messages of support to Smith before he knows the whole facts. For your own information it is not a question of faulty judgment or even of indiscretion but of deliberate concealment from me and